

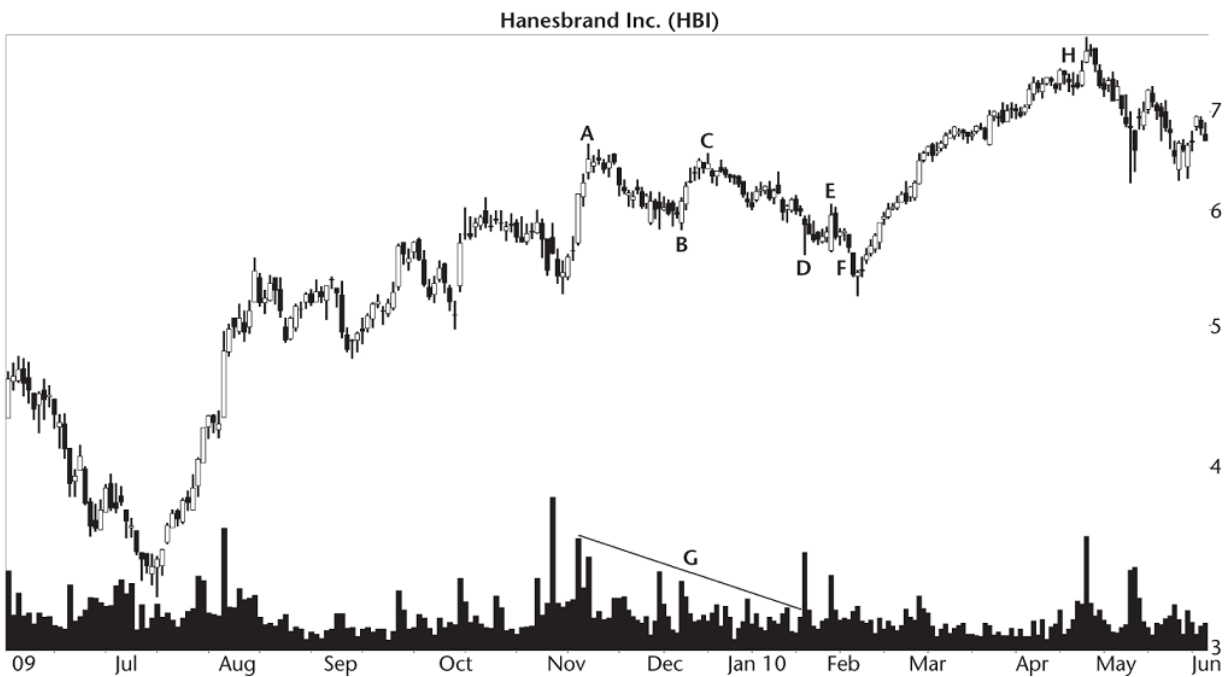
Hopefully you can use the information in these tables to help improve trading results using Fibonacci-based patterns.

Sample Trade

[Figure 3.4](#) shows a trade George made. His computer program found the AB=CD pattern on the way down to D. Let's go through his buy decision.

The pattern appears at turns ABCD on the chart. The high at point A is 6.65, the low at B is 5.81, for a height of 84 cents. Subtracting the height from the high at C (6.55) gives a calculated turn D of 5.71. The high–low range at D is 5.94–5.59. It's the first point where the stock drops below the target, and it accurately marks the turn. So that becomes point D.

Let's see if we can predict *when* the stock will reach D. Point A is 9 November 2009, B is at 8 December, and C turns at 16 December. The ratio of CB/BA is 8/29 or .28. That's the ratio between the two legs.



[Figure 3.4](#) George took a loss buying this AB=CD.

For point D, we use the formula $D = (C - B) / \text{Ratio} + C$ or $(8) / .28 + (16 \text{ December } 2009)$. Turn D is predicted to appear on 14 January 2010. In this example, turn D appeared on 20 January, and that's within a week of the predicted time. I consider that a good prediction.